Notes on Christiano et al. (2005)

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Motivation Observed inflation inertia and aggregate quantity persistence.

Research qeustion Can models with moderate degrees of nominal rigidities generate inertial inflation and persistent output movements in response to a monetary policy shock?

Consequences of MP shock After an expansionary monetary policy shock:

(a) output, consumption, and investment respond in a hump-shaped fashuon, peaking after about one and a half years and returning to preshock levels after about three years;

(b) inflation responds in a hump-shaped fashion, peaking after about two years;

(c) the interest rate falls for roughly one year;

(d) real profits, real wages and labour productivity rise; and

(e) the growth rate of money rises immediately.

Model

(a) Firm, still, is doing recursive optimization problem with continuation value: Choose its price to maximize the expected continuation value under this price.

(b) Money supply is the sum of cash balance and debt.

References

Christiano, Lawrence J, Martin Eichenbaum, and Charles L Evans, “Nominal Rigidities and the Dynamic Effects of a Shock to Monetary Policy,” 2005, *113* (1), 1–45.